

CH – 1 ACCOUNTING BASICS

(A) INTRODUCTION TO BUSINESS AND ACCOUNTING

Home Assignment – 4 [Business Transactions]

1. Expenditure incurred in acquiring the plant & machinery for the business is an example of
 - (a) Revenue expenditure
 - (b) Deferred revenue expenditure
 - (c) Capital expenditure
 - (d) None of the above
2. Amount spent on the replacement of major parts of the machinery is:
 - (a) Capital expenditure
 - (b) Revenue expenditure
 - (c) Deferred revenue expenditure
 - (d) None of the above
3. Amount paid for acquiring land is:
 - (a) Revenue expenditure
 - (b) Deferred revenue expenditure
 - (c) Capital expenditure
 - (d) None of the above
4. Which one of the following is not a capital expenditure?
 - (a) Shipment cost paid for the import of plant
 - (b) Installation cost of plant
 - (c) Repair cost of the plant
 - (d) Testing cost of plant
5. Which of the following is not a business transaction?
 - (a) Sale of goods on credit
 - (b) Training of new employee
 - (c) Purchase of office stationery
 - (d) Payment of salaries
6. Which one of the following cannot be an ongoing transaction
 - (a) Purchase of raw material for production of new cars
 - (b) Sale of motor cars to showroom dealers.
 - (c) Sale of old machine used for the production of motor cars.
 - (d) Travel expenditure for marketing in different auto exhibitions
7. Which of the following transaction is not a financial transaction
 - (a) Payment of salary to employee
 - (b) Payment of donations to a Non-Profit Organization
 - (c) Signing of long-term contract for the purchase of raw material

(d) Awarding cash prize to needy employees to motivate them

8. A business has incurred following costs for the year ended 31 December 2023:

	Rs. million
Extension in building	1.5
Repairs to building	0.5
Overhaul to machinery that increased production capacity	1.2

What is the amount of capital expenditure incurred during the year?

- | | |
|---------------------|---------------------|
| (a) Rs. 1.5 million | (b) Rs. 2 million |
| (c) Rs. 2.7 million | (d) Rs. 1.7 million |

9. Which of the following is not a business transaction?

- | | |
|---|---------------------------------|
| (a) Incurring interest on a business loan | (b) Hiring a new employee |
| (c) Purchasing office supplies | (d) Receiving fees for services |

10. Which one is a capital transaction?

- | | |
|-----------------------|---------------------------|
| (a) Purchase of goods | (b) Payment of wages |
| (c) Sale of goods | (d) Purchase of machinery |

11. The amount spent for major alterations in an office van to increase its carrying capacity is generally a:

- A. Deferred revenue expenditure
- B. Revenue receipt
- C. Capital expenditure
- D. Capital receipt

12. The amount spent for Initial fitting of an air-conditioner system in the office building is generally a:

- A. Capital receipt
- B. Capital expenditure
- C. Revenue expenditure
- D. Revenue receipt

13. The amount spent for training costs for staff to use a new machine is generally a:

- A. Revenue receipt
- B. Capital expenditure
- C. Revenue expenditure
- D. Capital receipt

14. The amount spent for repairing a truck engine to keep it in good running condition is generally a:

- A. Revenue receipt
- B. Revenue expenditure
- C. Capital receipt
- D. Capital expenditure

15. Compensation from insurance company for loss of a building is:

- A. Capital receipt
- B. Revenue receipt
- C. Revenue expenditure
- D. Deferred revenue expenditure

